

COMPANY ALPHA - Financial Diagnostic

Financial Diagnostic · FY2023–FY2025 · Cash Flow & Working Capital Analysis | Construction Sector | SRL | Turnhout, België

Construction

High Risk

AI-Generated

 **CRITICAL:** You lost money on every project in FY2025 (negative gross margin). Your equity ratio is at 93.5%. Under stress, you have 3.3 months before insolvency. You must act now.

CEO EXECUTIVE BRIEF

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You are losing money on every project you deliver. Your business is currently financed entirely by unpaid suppliers — not by profits or bank credit. Without immediate action on pricing, receivables, and financing, you face a high probability of insolvency within months.

TOP 3 CRITICAL RISKS

- 1 Negative gross margin.** Every project you complete costs you more than it earns. The more you work, the faster you lose money.
- 2 100% supplier-financed.** Your 4 872 EUR cash sits against 2 327 EUR owed to suppliers. If one demands payment, your cash vanishes overnight.
- 3 Zero liquidity buffer.** No bank credit line, no reserves, no provisions. One client default or one delayed project wipes you out in 3.4 months.

TOP 3 IMMEDIATE ACTIONS

- 1 Raise prices 20% on all new contracts — this week.** Your gross margin is negative. Stop accepting work that loses money.
- 2 Collect EUR 10,853 from clients within 30 days.** Send collection notices Monday. Require 30-50% advance on every new contract.
- 3 Secure a bank credit line of EUR 10-15K — this week.** You have zero safety net. One shock = insolvency.

FINANCIAL DIAGNOSTIC

⚠ Liquidity Risk Timeline



✓ Immediate Actions — Next 30 Days

1

Fix Pricing Immediately

Raise all new contract prices by minimum 20%. Stop accepting projects below cost. Audit your top 3 contracts this week.

Impact: Reverse operating loss within 60-90 days

2

Accelerate Receivables Collection

Send collection notices to all overdue clients. Require 30-50% advance payment on every new contract starting immediately.

Impact: Free up EUR 10,853 within 30 days

3

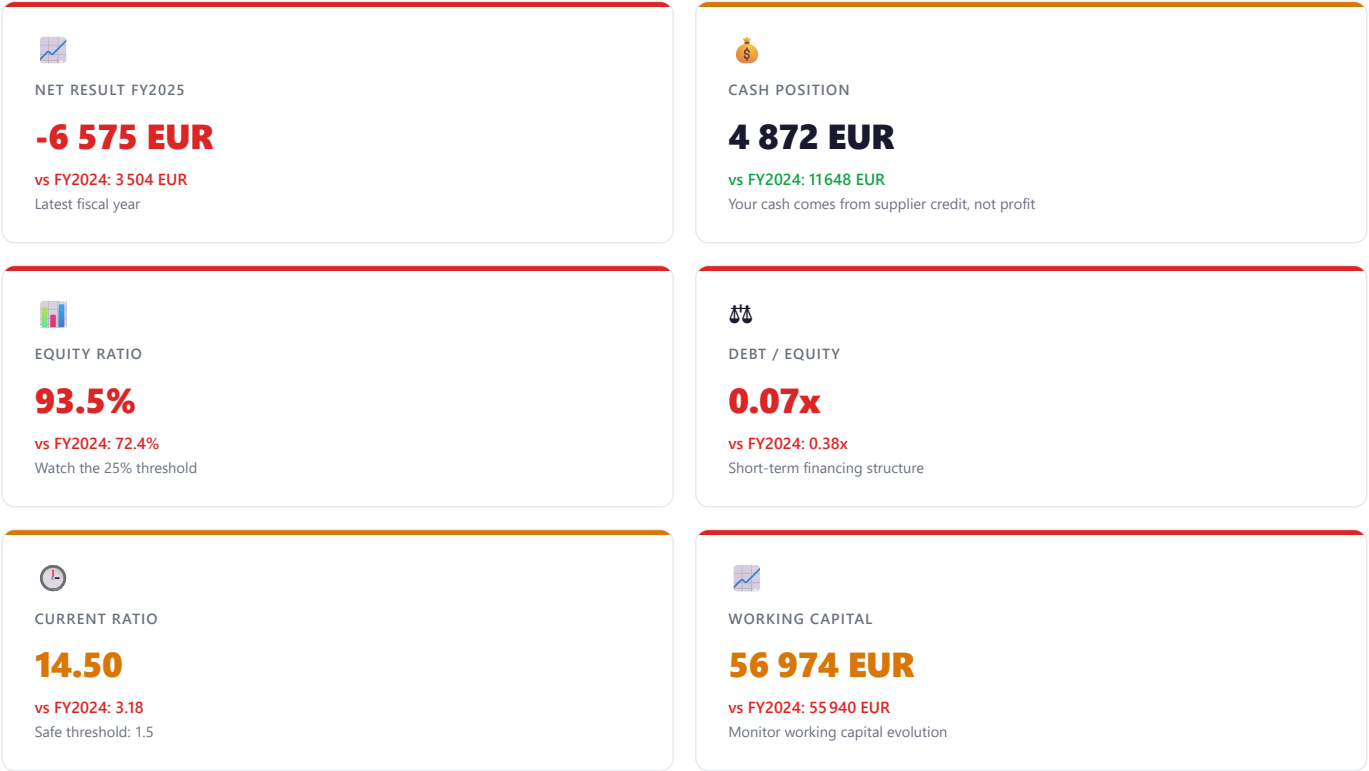
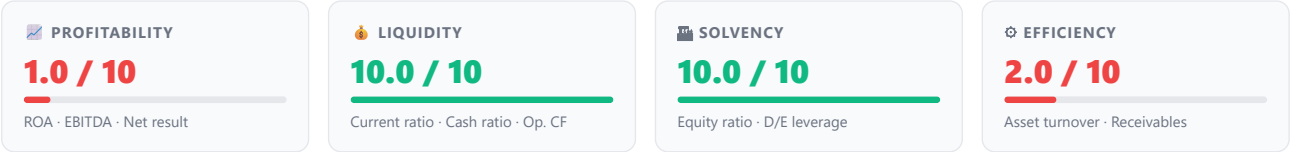
Secure Emergency Credit Line

Contact your bank this week. Apply for EUR 10-15K credit line. You currently have zero safety net against any shock.

Impact: Extend survival horizon to 12+ months

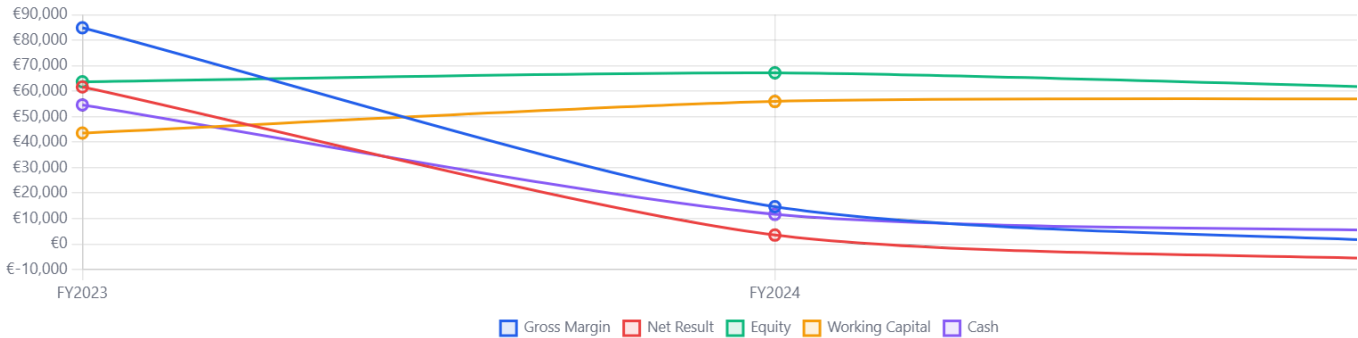
EXECUTIVE OVERVIEW

GPS SCORE FRAMEWORK — GLOBAL PERFORMANCE SCORE



Multi-Year KPI Trend

Evolution across FY2023 → FY2025



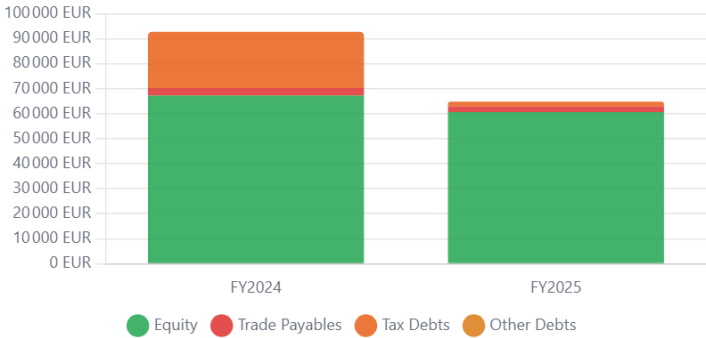
FY2023
8.1 /10
STABLE

FY2024
8.0 /10
STABLE

FY2025
6.1 /10
MODERATE

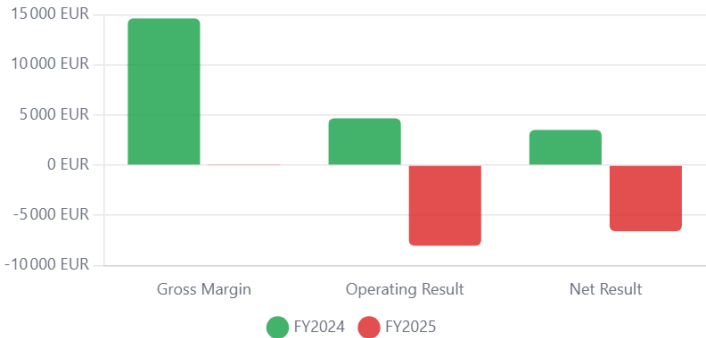
Balance Sheet Composition

FY2025 vs FY2024 - Assets & Liabilities structure



Profitability Swing

From profit to loss in one year



⚠ You Are Losing Money on Every Project

Your gross margin swung from +4,591 EUR to -551 EUR. **So what?** Every additional project you accept increases your losses. You cannot grow your way out of this — you must fix pricing before taking any new work.

⚠ Your Growth Is Destroying Cash & Equity

Your balance sheet grew 153% but equity fell 24%. **So what?** Growth is eating your company alive. You are financing expansion with supplier IOUs, not profits. This is a ticking time bomb — when suppliers call in their debts, your growth reverses into collapse.

⚠ No Bank Will Lend to You

Your equity ratio is at 93.5% (25% alarm threshold). Debt-to-equity at 0.07x. **So what?** At this level, banks will not provide financing. You have no ability to borrow your way out of a crisis. Your only option is to generate cash from operations — which are currently negative.

⚠ Dividend Distribution Weakened Your Foundation

You distributed EUR 1,633 as dividends in FY2024 (45% of net profit). **So what?** That cash is gone. It could have been your emergency buffer. With only EUR 5,000 in capital, every euro of equity matters for survival.

⚠ One Shock Away From Insolvency

Zero credit line. Zero reserves. Zero provisions. Your cash of 4872 EUR against 4219 EUR in obligations. **So what?** You have no ability to absorb any shock — a client default, a cost overrun, a supplier demanding payment. Any one of these triggers a cascade to insolvency.

CASH FLOW ANALYSIS

CASH FROM OPERATIONS

+6,499 EUR

122% from WC changes, not profit

FREE CASH FLOW

+4,999 EUR

After CAPEX of -1,500 EUR

CASH BALANCE

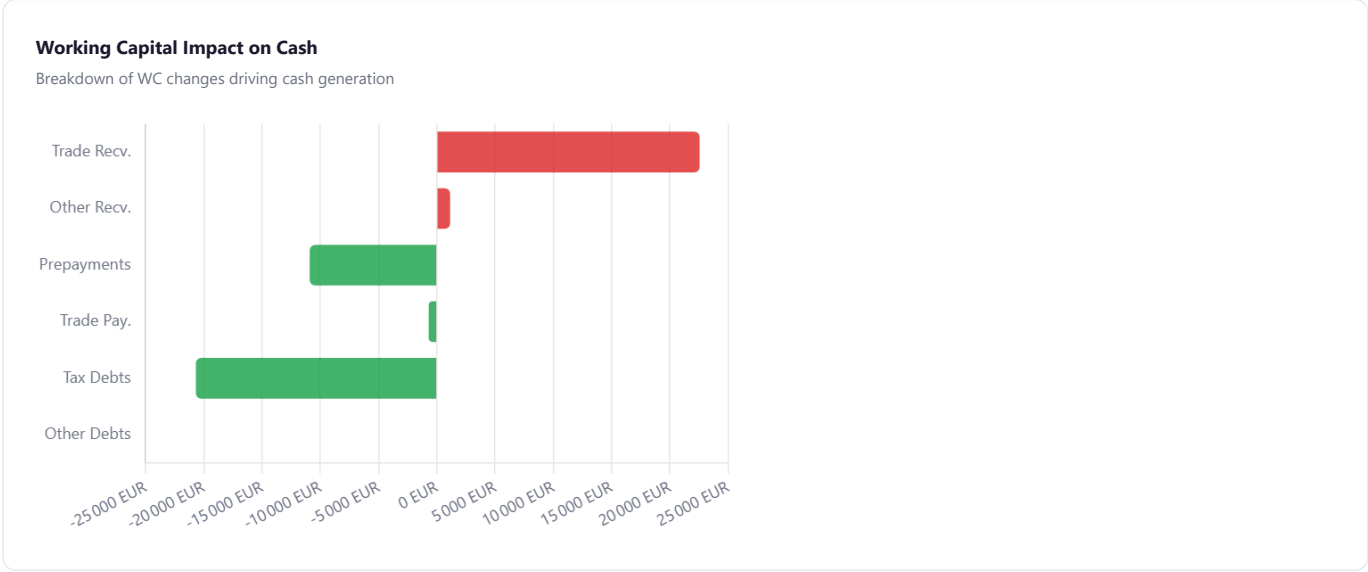
4 872 EUR

Up from 2,065 EUR

OPERATING CASH (EXCL. WC)

-1,445 EUR

Your true operating cash is negative



Cash Flow Statement - Indirect Method (FY2025)

LINE ITEM	AMOUNT (EUR)
OPERATING ACTIVITIES	
Net Result	-6 575,00 EUR
(+) Depreciation	7 609,55 EUR
= Cash before WC changes	1 034,55 EUR
Working Capital Changes:	
Change in Trade Receivables	22 550,13 EUR
Change in Other Receivables	1 135,80 EUR
Change in Prepayments	-10 914,19 EUR
Change in Trade Payables	-702,29 EUR
Change in Tax Debts	-20 684,31 EUR
Change in Other Debts	0,00 EUR
= Total WC Change	-8 614,86 EUR
CASH FROM OPERATIONS	-7 580,31 EUR
INVESTING ACTIVITIES	
Capital Expenditure	0,00 EUR
FREE CASH FLOW	-7 580,31 EUR
Opening Cash	11 648,16 EUR
CLOSING CASH	4 871,75 EUR

TAB - RISK - WARNING

 **Important: Base case is misleading.** The 49.5-month survival estimate assumes suppliers will continue financing your operations indefinitely. This is unrealistic. Suppliers can demand payment at any time. The realistic survival horizon under stress is 3–6 months.

SCENARIO ANALYSIS

REALISTIC SURVIVAL HORIZON

3 – 6 months

Based on worst-case analysis: 30% receivables default + supplier payment demand. This is the scenario you must plan for.

WORST CASE

If 30% of your receivables default + 15% cost increase

3.4

months survival

Your receivables loss: -6,512 EUR | Cash left: 553 EUR

CRITICAL: You face near-immediate insolvency

BASE CASE

If you change nothing — current loss trajectory continues

49.5

months survival

Your cash: 4872 EUR | Survival base: 8.9 months

Misleading: assumes your AP keeps growing

BEST CASE

If you accelerate 50% of your receivables collection

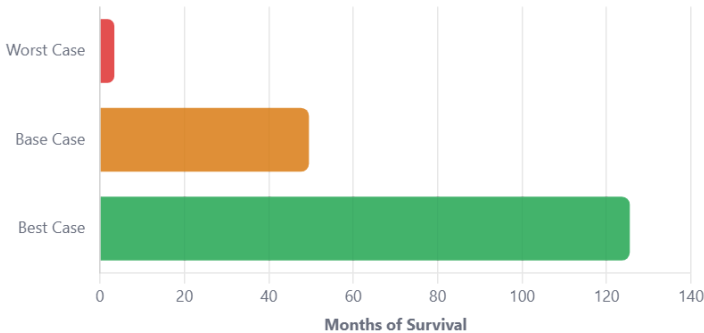
125.5

months survival

Additional cash: +10,853 EUR | Your total: 17,918 EUR

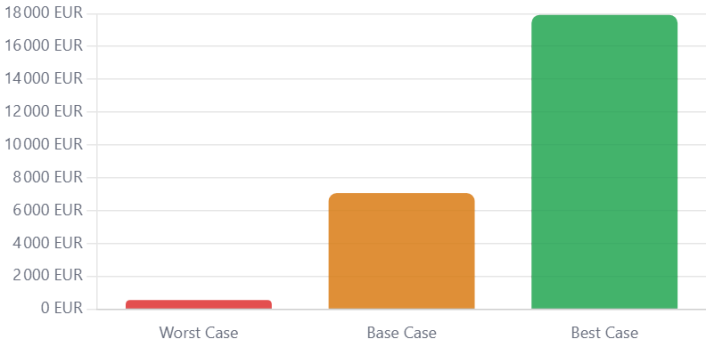
Survival Horizon Comparison

Months of runway under each scenario



Cash Position Under Scenarios

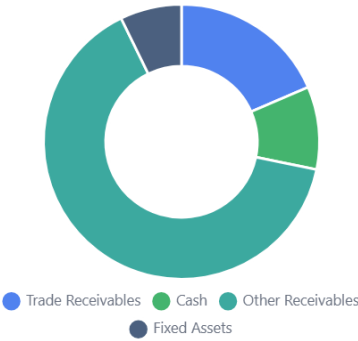
Available liquidity by scenario



BALANCE SHEET

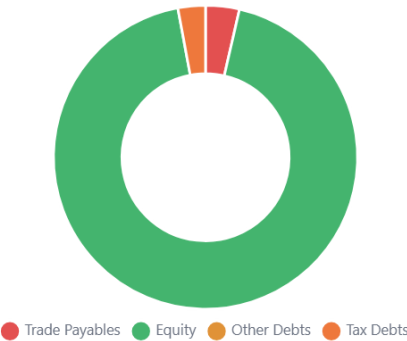
Assets Breakdown - FY2025

Total: 50011 EUR EUR



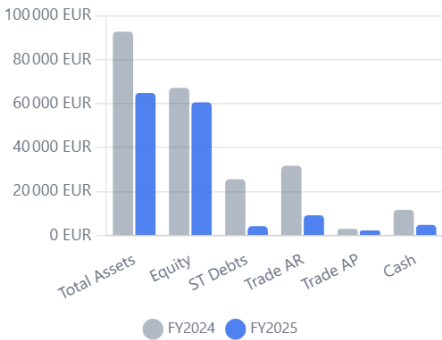
Liabilities Breakdown - FY2025

Total: 64802 EUR EUR



Year-over-Year Change

FY2025 vs FY2024



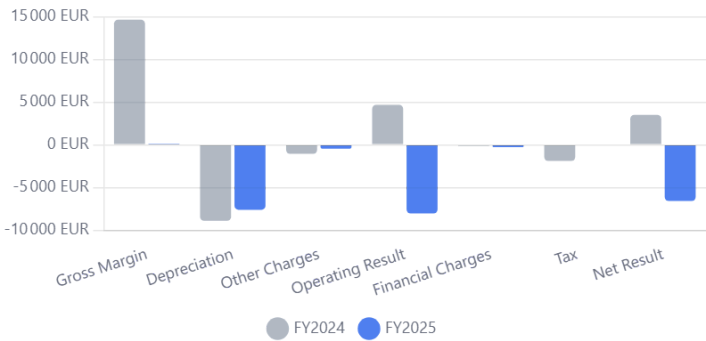
Comparative Balance Sheet

LINE ITEM	FY2024 (EUR)	CHANGE (EUR)	CHANGE (%)	FY2025 (EUR)
ASSETS				
Fixed Assets	11 218,54 EUR	-7 609,55 EUR	-67.8%	3 608,99 EUR
Installations & Equipment	11 218,54 EUR	-7 609,55 EUR	-67.8%	3 608,99 EUR
Current Assets	81 545,21 EUR	-20 352,05 EUR	-25.0%	61 193,16 EUR
Trade Receivables	31 800,13 EUR	-22 550,13 EUR	-70.9%	9 250,00 EUR
Other Receivables	33 416,12 EUR	-1 135,80 EUR	-3.4%	32 280,32 EUR
Cash & Equivalents	11 648,16 EUR	-6 776,41 EUR	-58.2%	4 871,75 EUR
TOTAL ASSETS	92 763,75 EUR	-27 961,60 EUR	-30.1%	64 802,15 EUR
LIABILITIES & EQUITY				
Equity	67 158,07 EUR	-6 575,00 EUR	-9.8%	60 583,07 EUR
Capital	2 000,00 EUR	0,00 EUR	0.0%	2 000,00 EUR
Retained Earnings	65 158,07 EUR	-6 575,00 EUR	-10.1%	58 583,07 EUR
Short-term Debts	25 605,68 EUR	-21 386,60 EUR	-83.5%	4 219,08 EUR
Trade Payables	3 029,69 EUR	-702,29 EUR	-23.2%	2 327,40 EUR
Tax Debts	22 575,99 EUR	-20 684,31 EUR	-91.6%	1 891,68 EUR
Other Debts	0,00 EUR	0,00 EUR	-	0,00 EUR
TOTAL LIABILITIES	92 763,75 EUR	-27 961,60 EUR	-30.1%	64 802,15 EUR

INCOME STATEMENT

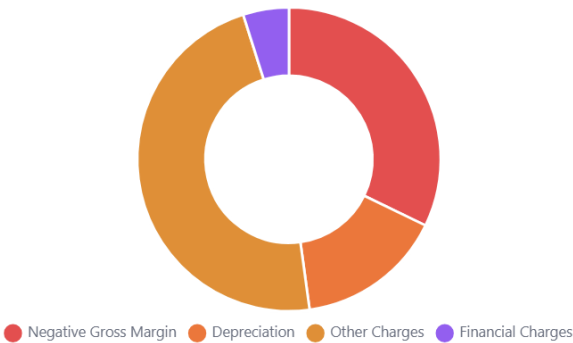
P&L Comparison: FY2025 vs FY2024

Dramatic reversal from profit to loss



Cost Structure - FY2025

Breakdown of charges eroding the margin



Comparative Income Statement

LINE ITEM	FY2024 (EUR)	CHANGE (EUR)	FY2025 (EUR)
Gross Margin	14 628,71 EUR	-14 596,35 EUR	32,36 EUR
(-) Depreciation	-8 903,65 EUR	1 294,10 EUR	-7 609,55 EUR
(-) Other Operating Charges	-1 059,51 EUR	604,85 EUR	-454,66 EUR
OPERATING RESULT	4 665,55 EUR	-12 697,40 EUR	-8 031,85 EUR
(+) Financial Income	857,63 EUR	883,62 EUR	1 741,25 EUR
(-) Financial Charges	-128,00 EUR	-156,40 EUR	-284,40 EUR
RESULT BEFORE TAX	5 395,18 EUR	-11 970,18 EUR	-6 575,00 EUR
(-) Tax	-1 891,68 EUR	1 891,68 EUR	-0,00 EUR
NET RESULT	3 503,50 EUR	-10 078,50 EUR	-6 575,00 EUR

WORKING CAPITAL

WORKING CAPITAL

56 974 EUR

▼ -42% from 7,013

NET TRADE POSITION

3,169 EUR

▼ -64% from 8,727

You are financing your clients (AR > AP)

TRADE RECEIVABLES

21,706 EUR

▲ +117% (from 10,000)

TRADE PAYABLES

18,537 EUR

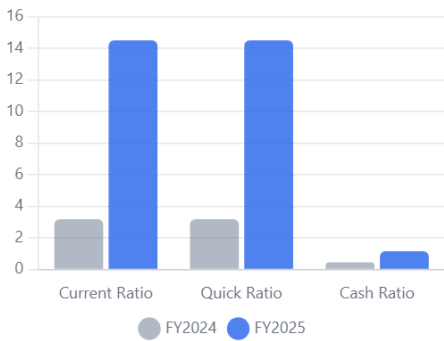
▲ +1,356% (from 1,273)



FINANCIAL RATIOS

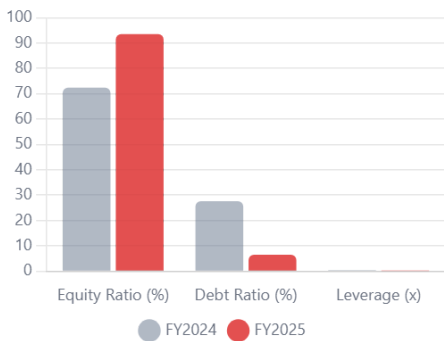
Liquidity Ratios

FY2025 vs FY2024



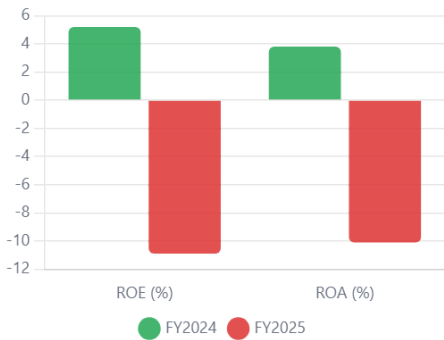
Solvency Ratios

Capital structure deterioration



Profitability Ratios (%)

From profitable to loss-making



Financial Ratios Dashboard

CATEGORY	RATIO	FY2024	FY2025	ASSESSMENT
LIQUIDITY	Current Ratio	3.18	14.50	LOW (< 1.5)
LIQUIDITY	Quick Ratio	3.18	14.50	LOW
LIQUIDITY	Cash Ratio	0.45	1.15	VERY LOW
SOLVENCY	Equity Ratio (%)	72.40	93.50	CRITICAL (< 25%)
SOLVENCY	Debt Ratio (%)	27.60	6.50	HIGH
SOLVENCY	Leverage (D/E)	0.38	0.07	VERY HIGH
PROFITABILITY	ROE (%)	5.20	-10.90	NEGATIVE
PROFITABILITY	ROA (%)	3.80	-10.10	NEGATIVE

RECOMMENDATIONS

Critical6 action(s)

URGENT

Review pricing immediately

Gross margin is NEGATIVE. Ensure minimum 15-20% margin on ALL construction projects. This is the root cause of the financial deterioration.

Impact: Fix core profitability - existential issue URGENT

URGENT

Accelerate receivables collection

Implement strict 30-day payment terms with late payment penalties. Invoice immediately upon project milestone completion, not at project end.

Impact: Free up EUR 6,500-10,800 in trapped cash URGENT

URGENT

Require advance payments on new projects

Request 30-50% deposits on new construction contracts to reduce client financing exposure.

Impact: Reduce working capital requirement URGENT

HIGH

Negotiate supplier payment terms

Formalize 60-90 day payment terms with key suppliers. Current informal delays create relationship risk.

Impact: Preserve cash buffer, reduce supplier tension HIGH

HIGH

Establish a bank credit line (EUR 10,000-15,000)

No financial safety net exists. A revolving credit facility would cover worst-case scenario.

Impact: Extend worst-case survival from 3.4 to 12+ months HIGH

HIGH

Build weekly 13-week rolling cash forecast

Monitor cash position weekly with forward projections. Flag liquidity gaps 4-6 weeks in advance.

Impact: Early warning system for cash crises HIGH

Moderate3 action(s)

MEDIUM

Consider invoice factoring for large receivables

Factor receivables > EUR 5,000 through a factoring company for immediate cash at 2-3% cost.

Impact: Immediate cash conversion MEDIUM

MEDIUM

Implement project-level profitability tracking

Track margins, costs, and cash flow per project. Identify and eliminate loss-making work.

Impact: Prevent hidden losses on individual projects MEDIUM

MEDIUM

Diversify client base

Micro entity with likely 1-3 clients = extreme concentration risk. One default could be fatal.

Impact: Reduce single-client default exposure MEDIUM

Strategic2 action(s)

STRATEGIC

Stop all dividend distributions

Equity ratio at 93.5% (alarm threshold: 25%). No dividends until equity ratio exceeds 30% and profitability is restored.

Impact: Rebuild equity base and creditworthiness STRATEGIC

STRATEGIC

Evaluate growth vs. cash trade-off

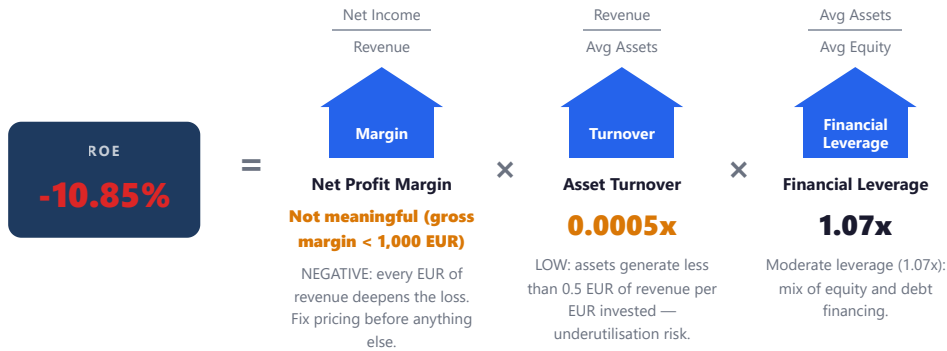
Balance sheet grew 153% but working capital fell 42%. Growth without profitability destroys cash and equity.

Impact: Sustainable scaling with positive cash generation STRATEGIC

TAB-DUPONT

DuPont Analysis — ROE Decomposition

Breaks Return on Equity into its structural drivers: profitability, asset efficiency, and financial leverage.



⚠ Gross margin is negative (–32 EUR). Net profit margin and asset turnover carry inverted signs relative to a normal business — do not interpret them in isolation. Use the 2-factor (ROA × leverage) decomposition as the primary lens.

5-Factor Decomposition

Adds tax burden & interest burden layers to the 3-factor model

TAX BURDEN
1
Net result / Pre-tax result

INTEREST BURDEN
0.8186
Pre-tax / Operating result

OPERATING MARGIN
Not meaningful (gross margin < 1,000 EUR)
Operating result / Gross margin

DuPont Interpretation

Net margin is not meaningful — gross margin (32 EUR) is too small to serve as a reliable revenue proxy. Use the 2-factor model (ROA × leverage) to read ROE.

- ▶ Net margin is not meaningful — gross margin (32 EUR) is too small to serve as a reliable revenue proxy. Use the 2-factor model (ROA × leverage) to read ROE.

TAB-EFFICIENCY

Efficiency Score — GPS Pillar 4

Measures how effectively the business converts assets and receivables into output.

EFFICIENCY SCORE

2 / 10

Asset Turnover sub-score: 1/10 (AT=0.00x) | Receivables Intensity adj: +0.5 (RI=14.3%) | Payables Coverage adj: +0.5 (PC=0.25x) | Final: 2.0/10

ASSET TURNOVER

0x

CRITICAL Asset turnover of 0.00x indicates that each EUR of assets generates 0.00 EUR of gross margin (benchmark: > 1.5x).

RECEIVABLES INTENSITY

14.3%

GOOD Trade receivables represent 14.3% of total assets — a low concentration, indicating limited credit risk from receivables.

Days Sales Outstanding (DSO)

DSO cannot be reliably calculated — gross margin used as revenue proxy (32 EUR) is too low to produce an interpretable result (104,334 days computed). Restoring pricing will restore this ratio.

Days Payables Outstanding (DPO)

DPO cannot be reliably calculated — gross margin used as revenue proxy (32 EUR) is too low to produce an interpretable result (26,252 days computed).

Operating Cycle & Cash Conversion

OPERATING CYCLE

—
DSO + DSI

CASH CONVERSION CYCLE

—
Operating Cycle – DPO

Receivables & Payables Intensity

PAYABLES COVERAGE

0.252x

GOOD Payables coverage of 0.25x — company finances its suppliers more than it is financed by them. Net trade creditor position.

Efficiency Insights

- DSO cannot be computed because gross margin is negative — revenue proxy is invalid. The company is operating at a loss before any receivable cycle measurement is meaningful.
- Payables coverage of 0.3x means the company is extending more credit to clients than it receives from suppliers — net trade creditor to the market. This is financially conservative but may be worth renegotiating with suppliers.
- Asset turnover is negative (0.00x) because gross margin is negative. This is a symptom of a fundamental pricing or cost problem, not an asset management issue per se.
- Cash Conversion Cycle cannot be computed (gross margin is non-positive). Restoring gross margin to positive territory is the prerequisite for all cycle-time analysis.

TAB - COMMON SIZE

Vertical Analysis — Income Statement

All items expressed as % of Gross Margin (IS) or Total Assets (BS).

ITEM	FY2023	ΔPP	FY2024	ΔPP	FY2025	
Gross Margin (base = 100%)	100.0%	+0.0pp	100.0%	+0.0pp	100.0%	
Depreciation	2.7%	+58.2pp	60.9%	+23454.4pp	23515.3%	
Other Operating Charges	0.2%	+7.1pp	7.2%	+1397.8pp	1405.0%	
Operating Result	97.2%	-65.3pp	31.9%	-24852.2pp	-24820.3%	
Financial Charges	0.1%	+0.7pp	0.9%	+878.0pp	878.9%	
Result Before Tax	97.0%	-60.2pp	36.9%	-20355.2pp	-20318.3%	
Tax	24.4%	-11.4pp	12.9%	-12.9pp	0.0%	
NET RESULT	72.7%	-48.7pp	23.9%	-20342.2pp	-20318.3%	

Vertical Analysis — Balance Sheet

All items expressed as % of Gross Margin (IS) or Total Assets (BS).

ITEM	FY2023	ΔPP	FY2024	ΔPP	FY2025	
Fixed Assets	13.6%	-1.5pp	12.1%	-6.5pp	5.6%	
Current Assets	86.4%	+1.5pp	87.9%	+6.5pp	94.4%	
Trade Receivables	48.2%	-13.9pp	34.3%	-20.0pp	14.3%	
Cash & Equivalents	36.9%	-24.3pp	12.6%	-5.0pp	7.5%	
Other Receivables	1.1%	+35.0pp	36.0%	+13.8pp	49.8%	
TOTAL ASSETS	100.0%	—	100.0%	—	100.0%	
Equity	43.0%	+29.4pp	72.4%	+21.1pp	93.5%	
Short-term Debts	57.0%	-29.4pp	27.6%	-21.1pp	6.5%	
Trade Payables	39.7%	-36.4pp	3.3%	+0.3pp	3.6%	
Tax / Social Debts	14.0%	+10.4pp	24.3%	-21.4pp	2.9%	
Other Debts	3.3%	-3.3pp	0.0%	+0.0pp	0.0%	

Vertical Analysis Insights

- Trade payables represent 3.6% of total assets vs 3.3% prior year (stable) — reliance on supplier financing is stable.
- Operating charges absorb 1405.0% of gross margin — leaving -24820.3% as operating result.
- Cash represents 7.5% of total assets vs 12.6% prior year — liquidity buffer is moderate — cash covers a reasonable portion of assets.
- Trade receivables account for 14.3% of total assets (vs 34.3% prior year) — concentration is low.
- Equity represents 93.5% of total assets (vs 72.4% prior year) — strong — well-capitalised balance sheet.

TAB-QUESTIONS

Key Questions for Management

Trigger-based diagnostic questions derived from your financial data.

2 Immediate3 Near-Term1 Monitor

Immediate

2 question(s)

CATEGORY: PROFITABILITY ⚡ EBITDA: -422 EUR

EBITDA is negative — the business cannot cover operating costs from its core activity. Is there a fundamental business model issue?

Negative EBITDA means the company's core opérations do not generate enough cash to cover even its operating expenses, before interest, tax, or depreciation. This is a red-flag signal suggesting the business model itself — not just its financing — may be unviable.

→ Stress-test the business model: at what revenue level does EBITDA break even? Is that level achievable within the curre...

CATEGORY: STRATEGY ⚡ Equity declining YoY (67,158 EUR → 60,583 E...

If losses continue at this rate, when will equity be exhausted? Have you modelled the implications for business continuity?

Declining equity combined with net losses creates a trajectory toward technical insolvency. Belgian law (Art. 7:228 CSA) requires the board to convene a special meeting when net assets fall below half of share capital — a threshold that may be approaching. Directors have a fiduciary duty to act before this threshold is breached.

→ Model the equity exhaustion date under three scénarios: current burn rate, +20% loss, -20% loss. Assess whether the Art...

Near-Term

3 question(s)

CATEGORY: SOLVENCY ⚡ Long-term debt: 0 EUR | S...

All your debt is short-term. Why have you not structured any long-term financing? This creates continuous refinancing pressure.

A balance sheet with no long-term debt but significant short-term liabilities means all financing must be continuously rolled over. This is particularly dangerous for a company already showing liquidity pressure, as a lender refusing to renew could trigger an immediate cash crisis.

→ Assess whether any of the short-term liabilities could be converted to long-term financing (e.g. bank term loan, shareh...

CATEGORY: PROFITABILITY ⚡ Gross margin positive (32 ...

Your projects are profitable, but your overheads are eliminating the profit. Which fixed cost lines are out of control?

A positive gross margin that turns negative at the operating level indicates that the fixed cost base is disproportionate to the revenue scale of the business. This is a structural mismatch that typically requires either revenue growth or cost restructuring.

→ Break down the overhead cost structure line by line. Identify the top three cost drivers above gross margin level and a...

CATEGORY: PROFITABILITY ⚡ Net result: -6,575 EUR (pr...

Why did profitability decline year-over-year? Is this a trend or a one-time event?

A worsening net result in a second consécutive period signals that the détérioration is not an isolated event but a trajectory. For a young company in its second fiscal year, this is particularly significant as it affects the ability to build an equity buffer.

→ Prepare a bridge analysis from prior year net result to current year, decomposing the variance by revenue, gross margin...

Monitor

1 question(s)

CATEGORY: EFFICIENCY ⚡ Asset turnover: 0.00x (gross margin / total assets, threshold: 0.5x)

Why are your assets generating so little revenue? Are there underutilised assets that could be divested or redeployed?

An asset turnover below 0.5x means the company generates less than EUR 0.50 of gross margin per EUR 1 of assets. For a construction service company with few fixed assets, this implies that receivables or cash are tied up unproductively — possibly in slow-paying clients or idle réserves.

→ Audit the composition of current assets: what proportion is trade receivables, and are they genuinely collectible? If r...